Image 9.2 – Nifty 15-mins Chart (18th May 2021)

But Nifty Spot and May futures opened with a 130+ points gap.

Now, if you are planning a long trade in futures, where do you keep the stop-loss?

The low of the 15-min candle is aggressive, and a small volatile move can take the stop-loss.

The previous day high (PDH) is the safest point to place the stop-loss. But it is too deep (130 points) and spoils the risk-reward.

Buying the call option (CE) is also risky because the premium will be higher due to increased volatility, and there is no guarantee that the price will give a big move from here.

One can think of selling put options (PE). But it demands more capital, and there are high chances of loss (due to gap-filling).

In this situation, Credit spreads play a crucial role.

Let me explain how a credit put spread works in these conditions.

Sell Nifty 15200 PE at 160 (weekly options)

Buy Nifty 15100 PE at 94 (weekly options)

So, the maximum profit potential is 66 points (160 – 94), and the maximum risk is 34 points (strike price difference – premium difference) (100 – 66).